

ACC 298

REVIEW FOR FIRST EXAM on Chapters 1, 2 & 3

BEFORE completing the comprehensive review problem below:

- Review your notes & in-class practice, the chapters, assignments completed online and your quizzes. If there are certain concepts which you're uncertain about, check the chapter eTextbook & Videos section for an interactive video to review.
- This is the perfect opportunity to use the "Adaptive Practice" software (in the "Optional" section of the current module.) I recommend it. It's very good practice and review of the topics for the exam and you will receive feedback on the specific topics or skills that should be practiced more before the exam, so don't leave this until the night before the exam!

Once you have completed the above review process for each chapter, **then** begin working on the comprehensive problem indicated below. The worksheet format is not needed for the exam. **Treat this comprehensive review problem like a Practice Exam:** closed book and closed notes; put yourself under a time deadline so that you're working through the problem quickly like in an exam situation.

Recommendation: Do not look at the solution until you have worked through the problem.

Short-cut: If you're short on time, complete all of the journal entries, then check your work with the Solution document. Then, instead of doing all of the postings, use the Adjusted Trial Balance that is provided in the Solution to prepare all of the financial statements without referring to any notes or the solution.

Solution is provided in a separate document.

Comprehensive Review Problem – Chapters 2 & 3

Review Objective: To complete the steps in the accounting cycle.

Lars Linken opened Lars Cleaners on March 1, 2024. During March, the following transactions were completed.

- | | |
|------|---|
| Mar. | |
| 1 | Issued 10,000 shares of common stock for \$15,000 cash. |
| 1 | Borrowed \$6,000 cash by signing a 6-month, 6%, \$6,000 note payable. Interest will be paid the first day of each subsequent month. |
| 1 | Purchased used truck for \$8,000 cash. |
| 2 | Paid \$1,500 cash to cover rent from March 1 through May 31. |
| 3 | Paid \$2,400 cash on a 6-month insurance policy effective March 1. |
| 6 | Purchased cleaning supplies for \$2,000 on account. |
| 14 | Billed customers \$3,700 for cleaning services performed. |
| 18 | Paid \$500 on amount owed on cleaning supplies. |
| 20 | Paid \$1,750 cash for employee salaries. |
| 21 | Collected \$1,600 cash from customers billed on March 14. |
| 28 | Billed customers \$4,200 for cleaning services performed. |
| 31 | Paid \$350 for gas and oil used in truck during month (use Maintenance and Repairs Expense). |
| 31 | Declared and paid a \$900 cash dividend. |

The chart of accounts for Lars Cleaners contains the following accounts: Cash, Accounts Receivable, Supplies, Prepaid Insurance, Prepaid Rent, Equipment, Accumulated Depreciation—Equipment, Accounts Payable, Salaries and Wages Payable, Notes Payable, Interest Payable, Common Stock, Retained Earnings, Dividends, Income Summary, Service Revenue, Maintenance and Repairs Expense, Supplies Expense, Depreciation Expense, Insurance Expense, Salaries and Wages Expense, Rent Expense, and Interest Expense.

Instructions

- (a) Journalize the March transactions.
- (b) Post to the ledger accounts. (May use T-accounts.)
- (c) Prepare a trial balance at March 31.
- (d) Journalize the following adjustments:
 - 1. Services performed but unbilled and uncollected at March 31 were \$200.
 - 2. Depreciation on equipment for the month was \$250.
 - 3. One month's worth of the insurance expired.
 - 4. An inventory count shows \$280 of cleaning supplies on hand at March 31.
 - 5. Unpaid employee salaries were \$1,080 at the end of March.
 - 6. One month of the prepaid rent has expired.
 - 7. One month of interest expense related to the note payable has accrued and will be paid April 1.
- (e) Post adjusting entries to the T-accounts.
- (f) Prepare an adjusted trial balance.
- (g) Prepare the income statement and a retained earnings statement for March and a balance sheet at March 31.